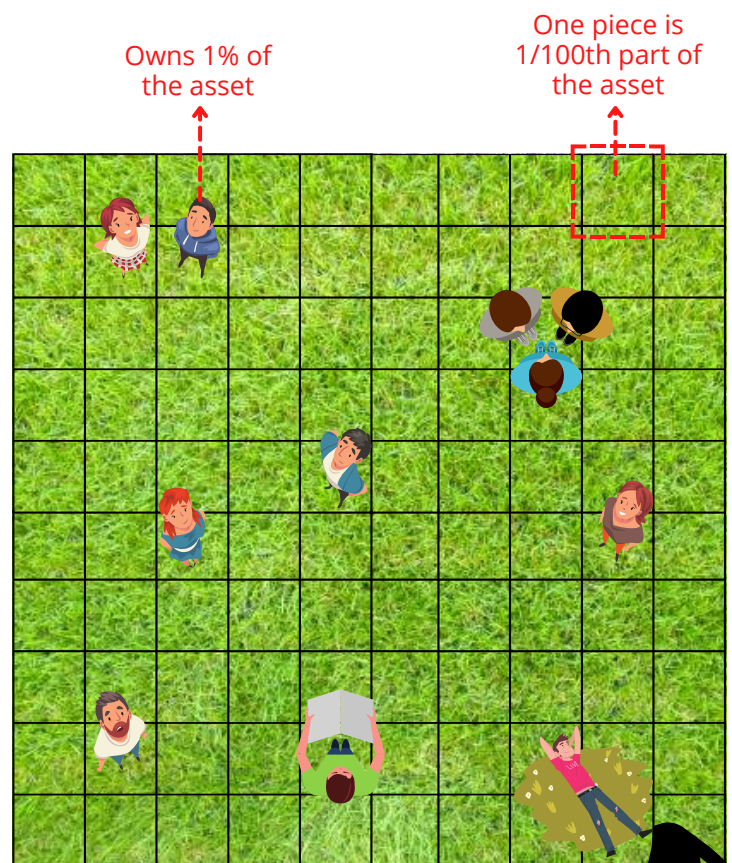


DIRECT EQUITY

For now, we will focus on direct equity investing. Buying direct equity in a company is like buying a small percentage in that business and how well that business performs going forward, will determine our returns.



Buying a company's shares is same as buying a small piece of land. Assume that this piece of land is a company.



The landowner breaks into 100 small parts and sells these to different people. Each buyer is the owner of 1% of the land. Similarly, a company is broken down into smaller pieces i.e. share, and it is sold to different people.

Every shareholder becomes the owner of the proportion of the company. The Company ownership can be divided into 100 parts or 1 Lac parts. To buy one share, we need to pay the price of one share, to buy 1,000 shares, we will have to pay the price of 1,000 shares